CORPORATE REPORTING

Suggested Answers
July-August 2022

Answer to the Question# 1 (a):

1. Lease:

At the commencement date the lessee pays the initial 550,000, incurs the direct costs of 250,000. The lease liability is measured at the present value of the remaining four payments:

$550,000/1.05^1$	= 523,810
$550,000/1.05^2$	= 498,866
$550,000/1.05^3$	= 475,111
$550,000/1.05^4$	= 452,486
Lease liabilities	= 1,950,273

ROU Asset to be recognized = Lease liabilities + Initial Payment + Direct Costs
= 1,950,273 +550,000+250,000
= 2,750,273

Following entry need to be passed in the financial statements

ROU Assets	Dr.	2,750,273	
Lease Liabilities	Cr.		1,950,273
Cash	Cr.		800,000

2. Fair value adjustment on Land:

Land is currently recognized at 2,000,000 which has fair value of 9,500,000. Copper should recognize the land acquired at fair value. Therefore, there would be a fair value adjustment of BDT 7,500,000 in net asset acquired.

Following entry will be required,

Land	Dr.	7,500,000	
Goodwill	Cr.		7,500,000

3. To recognize unrealized profit:

Revenue (Copper)	Dr.	3,202,316	
Inventory (Nickel)	Cr.		3,202,316

4. To remove intercompany transaction:

Other Income (Copper)	Dr.	749,552	
Finance Exp (Nickel)	Cr.		749,552

Answer to the Question# 1 (b):

1. Calculation of Goodwill:

Purchase Consideration	:		487,246,624
Less: Fair value of net asset acquired	**:**		
Net asset of the company	: 229,469,722		
Add: Fair value adjustment for land	: 7,500,000		
Fair value of net assets of Nickel Ltd.		: 236,969,722	
Less: Minority interest (20%)		: 47,393,944	
Fair value of net asset acquired	:		189,575,778
Goodwill			**297,670,846**

2. Minority Nickel Ltd.

Post-acquisition retained earnings (80,914,722 + 59,418 - 5,914,722)	= 75,059,418
Less: Profit attributable to Copper Ltd. (80%)	(60,047,534)
Profit available for minority interest	***15,011,884***
Add: Minority interest added during acquisition	47,393,944
Total minority interest at the year-end	**62,405,828**

3. Provision for unrealized profit

Inventory at Nickel warehouse (19213894/2)	= 9,606,947
20% Profit remain unrealized (9,606,947*.2/1.2)	= 3,202,316

4. Retained earnings of Copper Limited

Own retained earnings	= 30,860,646
Post acquisition retained earnings of Nickel Limited)	= 60,047,534
Total retained earnings	**= 90,908,180**

Consolidated Statement of Profit or Loss
For the year ended 31 December 2021

	Copper Ltd	Nickel Ltd.	Adjustments	Consol Adj.	Consolidated
Revenue	1,921,389,313	633,141,620	-	(54,073,291)	2,500,457,642
Cost of sales	(1,878,390,976)	(457,062,244)	-	50,870,975	(2,284,582,245)
Gross profit	**42,998,337**	**176,079,376**	**-**	**(3,202,316)**	**215,875,397**
Administrative and selling expenses	(275,669,136)	(118,219,667)	-	-	(393,888,803)
Other operating income	216,707,949	16,513,765	-	(749,552)	232,472,162
Operating profit	**(15,962,850)**	**74,373,474**	**-**	**(3,951,868)**	**54,458,756**
Finance expenses	(402,967)	(4,997,013)	-	749,552	(4,650,428)
Profit before tax	**(16,365,817)**	**69,376,461**	**-**	**(3,202,316)**	**49,808,328**
Income tax expense	(102,518,580)	(46,542,703)	-	-	(149,061,283)
Profit for the year	**(118,884,397)**	**22,833,758**	**-**	**(3,202,316)**	**(99,252,955)**
Other comprehensive income	2,283,201	1,918,692		-	4,201,893
Profit for the year	**(116,601,196)**	**24,752,450**	**-**	**(3,202,316)**	**(95,051,062)**

Consolidated Statement of Financial Position
As at 31 December 2021

	Copper Ltd	Nickel Ltd.	Adjustments	Consol Adj.	Consolidated
ASSETS					
Non-current assets					
Property, plant and equipment	59,115,335	2,853,915	-	7,500,000	69,469,250
Intangible asset	2,010,107	133,713	-	-	2,143,820
Deferred tax assets	34,867,628	783,390	-	-	35,651,018
Defined benefit assets	3,432,844	-	-	-	3,432,844
Investment in subsidiaries	487,246,624	-	-	(487,246,624)	-
ROU Assets			2,750,273	-	2,750,273
Goodwill			-	297,670,846	297,670,846
	586,672,538	**3,771,018**	**2,750,273**	**(182,075,778)**	**411,118,051**

Current assets					
Inventories	91,362,996	114,702,039	-	(3,202,316)	202,862,719
Trade & Other receivables	597,107,447	101,155,660			698,263,107
Inter-company receivable	33,672,160	165,671,551	-	(131,999,391)	67,344,320
Advances, deposits and prepayments	576,604,120	105,169,650	-	-	681,773,770
Cash and Bank balances	237,391,120	184,728,753	(800,000)	-	421,319,873
	1,536,137,843	**671,427,653**	**(800,000)**	**(135,201,707)**	**2,071,563,789**
Total assets	**2,122,810,381**	**675,198,671**	**1,950,273**	**(317,277,485)**	**2,482,681,840**
EQUITY AND LIABILITIES					
Equity					
Share capital	25,000,000	223,555,000	-	(223,555,000)	25,000,000
Retained earnings	30,860,646	80,914,722	-	(24,069,504)	87,705,864
Acturial Gain/(loss)	(15,198,375)	59,418	-	(59,418)	(15,198,375)
Minority Interest	-	-	-	62,405,828	62,405,828
	40,662,271	**304,529,140**	**-**	**(185,278,094)**	**159,913,317**
Non-Current liabilities					
Defined benefit obligation	3,585,000	4,010,634	-	-	7,595,634
Lease Liabilities			1,950,273	-	1,950,273
	3,585,000	**4,010,634**	**1,950,273**	**-**	**9,545,907**
Current liabilities					
Inter-company payable	165,671,551	33,672,160	-	(131,999,391)	67,344,320
Contract liabilities	528,730,432	33,432,040	-	-	562,162,472
Trade payables	771,997,603	171,102,424	-	-	943,100,027
Provision for income tax	612,163,524	128,452,273	-	-	740,615,797
	2,078,563,110	**366,658,897**	**-**	**(131,999,391)**	**2,313,222,616**
Total equity and liabilities	**2,122,810,381**	**675,198,671**	**1,950,273**	**(317,277,485)**	**2,482,681,840**

Answer to the Question# 2 (a):

Provided information shows that total assets contain PPE, Trade receivables and cash. As per IAS 29 para 12, Trade receivables and cash being monetary item does not require adjustment in relation to hyperinflationary economy. The only asset requiring adjustment is the PPE, from date of revaluation to 01 July 2022.
So, it is restated amount of PPE is 55,200 x (1800/1200) = 82,800.

In case of liabilities and equity, trade payables are also monetary item and does not require adjustments. At the beginning of the first period of application of IAS 29, share capital is restated from the date of contribution, the revaluation surplus is eliminated and retained earnings are the balancing figure So only equity items need to be considered. Therefore, the restated equity balance is 82,800 – 55,200 = 27,600+16,000 + 14,000+ 22,600 = 80,200.

Retained earnings after adjustment are 80,200 –(16,000 x 1800/1000) = 80,200 – 28,800 = 51,400.
Therefore, the restated balance sheet as of 01 July 2022 is:

Total Assets	**UAH**	**Total Liabilities**	**UAH**
Property, plant and equipment	82,800	Share capital	28,800
Trade receivables	21,600	Revaluation reserve	0
Cash	2,600	Retained earnings	51,400
		Trade payables	26,800
	107,000		**107,000**

Answer to the Question# 2 (b) (i):

In the special promotion, refrigerators and extended warranty has been bundled up as special promotional offer to the customers. To recognize revenue from the special promotion, IFRS 15 shall be applied. Special promotion generated revenue of (55,000 x 15) BDT 825,000. Price allocation of the offer components will be:

Components	**Standard Price (A)**	**Price Allocation (B)**	**Selling Quantity (C)**	**Allocated price D = B x C**
Home Appliances	55,000	55,000*55000/65000	15	= 698,077 ≈ 700,000
Extended Warranty	10,000	55,000*10000/65000	15	= 126,923 ≈ 125,000
Total	**65,000**	**55,000**	**15**	**825,000**

Of that amount, BDT 700,000 will be recognized as revenue for the year and remaining 125,000 should be deferred as contract liabilities. Revenue from this contract liability will be recognized after standard warranty period ends. Contract liability has not been discounted considering the amount is not material.
Standard warranty will not be deducted from Revenue as this will be covered by IAS 37. Therefore, Revenue that shall be reported in the statement of profit or loss for the year ended is BDT 28,500,000 – 125,000 = 2,83,75,000.

Answer to the Question# 2 (b) (ii):

Experience indicates that 80 per cent of home appliance item sold by KTL require no warranty repairs. However, experience shows 15% of items sold require minor repairs costing 25% of the sale price whereas 5% items sold require major repairs or replacement costing 80% of sale price. Therefore, Warranty Expenses related to these sales will be:

Probability Percentage (A)	**Cost% of revenue (B)**	**Revenue (C)**	**Warranty Expenses (D = A x B x C)**
80%	0%	2,83,75,000	= 0
15%	25%	2,83,75,000	= 1,064,063 ≈ 1,065,000
5%	80%	2,83,75,000	= 1,135,000
Total			**≈ 2,200,000**

KTL expects that 65% of 2,200,00 warranty expenses will incur in 2022 and remaining 35% in 2023. KTL uses government bonds rates to discount its expected cash outflows which is 5% coupon for one-year bonds and 7% for bonds with two or more years term. Therefore, present value of the warranty expenses will be:

Year	Warranty Probability	Warranty Cost	Expected Cash outflow	Discount rate	PV calculation	Present Value of Warranty Liabilities
1 (2022)	65%	2,200,000	1,430,000	6%	1,430,000/(1.06^1)	= 1,349,057 ≈ 1,350,000
2 (2023)	35%	2,200,000	770,000	7%	770,000/(1.07^2)	= 672,548 ≈ 672,500
Total	**100%**		**2,200,000**			**≈ 2,022,500**

KTL shall recognise a warranty obligation of BDT 2,022,000 at the end of 2021 for products sold in 2021. The provision has to be reassessed on a regular basis at least on reporting date.
KTL should post following entries to adjust the revenue and recognize the warranty expenses and liabilities.

a) To defer the revenue for contract liability:

Revenue	Dr.	125,000	
Contract Liabilities	Cr.		125,000

b) To recognize the warranty expenses:

Warranty Expenses	Dr.	2,022,500	
Warranty provision	Cr.		2,022,500

Answer to the Question# 3 (a):

The pension plan introduced by Triple Garments will be accounted for in accordance with IAS 19 'Employee Benefits'. The scheme will be treated as a defined benefit plan. This is because Triple Garments has guaranteed pension benefits employees will receive at retirement. Its obligation is therefore not limited to pension to contributions to the plan.

Triple Garments will recognise a net liability of BDT 3,425,000 **W4** under non-current liabilities in its statement of financial position as at 31 December 2021. It will also recognise a net pension expense of BDT 1,921,875 **W3** and net actuarial loss of BDT 203,125 **W1&W2** (204,688 – 407,813) in its statement of profit or loss and other comprehensive income for the year ended 31 December 2021.

Workings	**Pension Plan Assets**
W1	**BDT**
Fair value at 1 April 2021	15,000,000
Benefits paid	1,150,000
Interest (12.5% x 15 m x6/12) +(12.5%x13.85 mx3/12)	1,370,313
Actuarial gain (bal. fig)	**204,688**
Fair value at 31 December 2021	15,425,000

W2	**Plan Obligations**
	BDT
Present value at 1 April 2021	16,300,000
Interest (12.5% x 16.3 m x6/12) +(12.5%x15.15 m x3/12)	1,492,188
Current service cost	1,800,000
Benefits paid	(1,150,000)
Actuarial loss (bal. fig)	**407,813**
Present value at 31 December 2021	18,850,000

W3	**Net pension expense**
Current service cost	1,800,000
Net Interest expense/ (income) (87.5 – 65)	121,875
Net expense	**1,921,875**

W4	Net pension obligation BDT
Present value at 31 December 2021	18,850,000
Fair value at 31 December 2021	(15,425,000)
Net Liability	**3,425,000**

Answer to the Question# 3 (b) (i):

Analysis of the financial Position:

Key ratios:

		2021	2020	% Change
Short term solvency ratio				
Current Ratio	$\frac{Current\ Assets}{Current\ Liabilities}$	2.04	1.96	4%
Quick ratio	$\frac{Current\ Assets - Inventories}{Current\ Liabilities}$	1.46	1.46	0%
Gearing Ratio	$\frac{Net\ Debt}{Equity}$	0.41	0.47	-11%
Performance ratio				
Return on capital employed	$\frac{Net\ Profit}{Total\ Equity}$	-3%	-9%	-66%
Return on assets	$\frac{Net\ Profit}{Total\ Asset}$	-2%	-6%	-65%
Efficiency Ratio				
Asset turnover	$\frac{Revenue}{Total\ Asset}$	0.83	0.85	-2%
Net asset turnover	$\frac{Revenue}{Total\ Equity}$	1.17	1.24	-6%

Commentary from ratio analysis:

Solvency of the entity:

Analysis of financial position of MCL indicates that Company has moderately strong financial position. Financial position of the company remains stable as there is no significant change in the solvency form previous year.

Current ratio of MCL has slightly increased by 4% to 2.06 from previous year current ratio of 1.96. This indicates company has strong control over its working capital and successfully maintains the flow of working capital. As the current ratio is over 2, that means MCL has double of its ability to meet its current obligation with current assets.

Analysis further shows that quick ratio has also no change (0%) from previous year. In current year and prior year the quick ratio is 1.46. This means company has adequate cash balance to pay off the current liabilities without losing significant amount of value at asset liquidation.

Analysis on MCL financial statements also shows that that company debt has strong grip on this debt control. It has maintained it gearing while paying off some of the debts. Debt to equity ratio has decrease to 0.41 from previous 0.47 (-11%).

Performance ratios of the entity:

From the analysis of the performance ratios, it can be noticed that MCL is consistently generating negative returns for the shareholders utilizing its assets. In 2021 return on ROCE was -3% which was -9% in previous year. This means MCL is performing poorly in generating profit against the capital received despite slight improvement from previous year. Return on total asset is also negative. ROA is -2% which was -6% in previous year. Although there is slight improvement in the situation due to decrease in total comprehensive losses.

Efficiency ratios of the entity:

Efficiency ratio aims to show how efficient an entity is in case of generating revenue utilizing its assets. Efficiency ratios shows that MCL was somewhat efficient enough compared to previous year in generating sufficient revenue utilizing its assets or equity. However, the ratio is still very negligible considering the size of business. Company's asset turnover has slightly decreased by 2% from previous year. Current year ratio is 0.83 which was 0.85 in prior year. Net asset turnover of MCL has also decreased significantly to 1.17 from previous 1.24. This is 6% decrease from prior year. As MCL was able to somewhat decrease loss, its have seen positive impact in its Asset and Net Asset turnover.

Analysis of Statement of profit or loss:

	31-Dec-21	31-Dec-20	Change	Change %
Revenue	1,600,764,406	1,748,884,859	(148,120,453)	-8.5%
Cost of Revenue	(1,315,916,521)	(1,454,793,930)	138,877,409	-9.5%
Gross Profit	284,847,885	294,090,929	(9,243,044)	-3.1%
GP%	17.8%	16.8%		
Net profit for the year	(41,159,856)	(125,976,792)	84,816,936	-67.3%
Net Profit %	-2.6%	-7.2%		

Commentary:

Analysis shows that MCL's current year revenue (1,600,764,406) has decreased significantly by 8.5% compared to previous year revenue of 1,748,884,859. This is poor performance by MCL. This could probably be due to unavailability of raw materials during pandemic and normalization of business environment. Following the trend of revenue decrease, Cost of sales has also decreased by 9.5% which is in line with revenue decrease rate. Because of decrease in revenue, Gross profit has seen slight decrease at -3.1% (to 284,847,885) from previous year GP of 294,090,929**.** Company's GP margin has increased to 17.8% from previous year GP margin of 16.8%. This is brilliant performance by MCL.

Net loss percentage has increased to -2.6% from -7.2% of previous year. Loss has been decreased due to significant decrease in operating expenses. Net loss of the company has decreased by 84,816,936 from previous year (67.3%).

Despite experiencing negative growth during the year, overall loss for the year has decreased significantly compared to previous year. MCL needs to focus on controlling companies' expenses including cost of manufacturing. A slight increase in GP margin to higher percentage may make the company profitable.

Answer to the Question# 3 (b) (ii):

Identification and assessment of risks:

Inappropriate revenue recognition:

MCL has experienced a slight decrease in Revenue (-8.5%) from previous year. Management might adjust customer advance in appropriately by recognizing revenue to show better financial position. This could be reasonable as company's performance ratios are not positive. As Revenue is one of the significant components of the financial statements and primary source of profitability of the company, we have to check the reason for changes in revenue considering the probable risks material misstatements in revenue.

Procedures to be followed:

- Understand revenue arrangements.
- Review the sales process and identify the risk of misstatements.
- Identify the controls available in the sales process and check for their operation and design effectiveness.
- Perform monthly, customer wise or product wise sales analysis.
- Check for reasons for revenue decrease.
- Obtain explanation from management for reason for sharp decrease.
- Perform substantive analysis on the suspected areas.

Risk that going concern assumption is inappropriate:

MCL has been making continuous loses. Furthermore, its net profit margin and return on asset is very low. Asset turnover is also very poor. This clearly indicates that MCL his going though financial hardship and has a threat to going concern.

Procedures to be followed:

- Obtain management assessment of company's going concern.
- Check whether management assessment is appropriate.
- Obtain financial forecast for next 4 to 5 years.
- If company is not going concern, we must suggest management to prepare financial statements under liquidation basis.
- We also confirm whether adequate disclosure has been made in the financial statements.
- Conclude on the financial statements and prepare audit opinion.

Understatement of Receivables:
Distributors of Mita Cosmetics Limited can claim to MCL when products expire at their premises and when they have to give free goods to customers based on MCL sales promotion. Because of these claims, receivables of the company may be overstated. Because a distribution may have raise claim but MCL might have not recognized the claims.

Procedures to be followed:

- Obtain confirmation from customers.
- Review the expected credit loss against the customers.
- Identify the controls available in the accepting and recognizing distributor claims.
- Perform overall analysis on distributor claims and check for abnormality.

Improper revaluation of land and factory building:
Management has revalued its factory land and building. However, prior year auditor have concluded that valuation has been overstated and expressed qualified opinion. There is high risk that factory land and building is overstated.

Procedures to be followed:

- Discuss with management and understand the reason for difference of opinion with prior year auditor.
- Obtain and review the valuation documentations and calculations done by management.
- Check for arithmetic and estimation accuracy.
- Involved an specialist to check the calculation, methodology and estimates used by management.

Misstatement in opening balances:
This is the first year of our audit. We have not audited in prior years. There might be possibilities that balances reported in the prior years contains material misstatements. As initial auditor, we need to confirm that the balance does not contain misstatements.

Procedures to be followed:

- Request prior year auditor access to their workpapers.
- Obtain confirmations from banks, vendors and customers on prior year balances.
- Obtain management representation on opening balances.
- Confirm that prior year balances have been correctly brought forward in opening balances.
- Match the underlying financial records with prior year audited FS.

Answer to the Question# 4 (a):

Auditors' responsibility regarding the uncorrected misstatement in receivables:

Uncorrected misstatements are misstatements that the auditor has accumulated during the audit (unless clearly trivial) and that have not been corrected.

ISA 450 Evaluation of Misstatements Identified during the Audit gives detailed guidance in this area. The standard states that the auditor shall determine whether uncorrected misstatements are material, individually or in aggregate. The auditor shall communicate with those charged with governance uncorrected misstatements and the effect that they, individually or in aggregate, may have on the opinion in the auditor's report, unless prohibited by law or regulation.

Answer to the Question# 4 (b):

Matters to consider and evidence expected:

Intangible Assets

i. <u>Matters to consider</u>

- Materiality – The proposed additional expense of BDT 48 million is material to both profit at 14.8% (48/324 X 100%) and to the total assets at 2.2% (48/2,200 X 100%).
- Risk of misstatement – Expenses could be understated while both profits and total assets could be overstated since there is a risk that research costs may have been capitalized inappropriately as development costs.
- Accounting – IAS 38 Intangible assets requires research costs to be expensed and development costs to be capitalized. Criteria for capitalization include: the technical feasibility of the developed product; the intention to complete the product development; the ability to sell the asset; that resources are available to complete the development.
- Impact on audit report – If the capitalization is wrong, then the audit opinion will be modified. The appropriate modified opinion could be a qualified opinion since the issue is material but unlikely to be pervasive.

ii. Evidence expected:

- Confirmation that project is clearly defined and related expenditure is separately identified, supported by copies of certified invoices, timesheets etc.
- Copies of market research reports, feasibility studies, budgets and forecasts
- Relevant correspondence with technical experts
- Review of results to date in terms of costs and revenues
- Review of calculations of future cash flows

Legal claim

i. <u>Matters to consider</u>

- Materiality – The claim of BDT 1,440,000 is immaterial to both profit at 0.4% and total assets at 0.06%. The provision is also clearly immaterial.
- Risk of misstatement – The risk is that profit could be understated and the provision overstated.
- Accounting – IAS 37 Provisions, contingent liabilities and contingent assets requires a provision to be recognized where, as a result of a past event, an outflow of economic benefits is probable, the amount of which can be estimated reliably. If such an outflow is only possible but not probable then it is a contingent liability, and should be disclosed in a note to the financial statements. The claim in this case at 10% is not 'probable', so no provision is necessary.
- Impact on audit report – If the provision in not reversed, then the audit opinion will not be modified since the issue is immaterial.

ii. Evidence Expected:

- Details of the contract with the client
- Correspondence with Prima Doc's engineers
- Copy of the legal claim
- Correspondence with company's lawyers
- Copy of any insurance contract
- Management representation pertaining to the outcome of the case

Earnings per Share (EPS)

i. Matters to consider:

- Materiality – The value of the EPS is clearly not material but it is a key investor figure. As it will be of interest to all the investors who read it, it is material by its nature.
- Risk of misstatement – The risk is that EPS disclosed is wrong.
- Accounting – IAS 33 Earnings per Share requires that companies of a certain size disclose their EPS for the year. Prima Doc is a listed company and therefore is required to disclose EPS. The earnings in the computation of EPS must be the net profit attributable to ordinary shareholders. Preference dividends have to be deducted from the earnings when computing EPS.
- Impact on audit report – If the EPS disclosed is not corrected, then the audit opinion will modified since the issue is material. A qualified opinion will be appropriate since the issue is material but not pervasive.

iii. Evidence expected:

- Copy of the draft financial statements
- Copy of Prima Doc's workings for EPS
- Recalculation of EPS
- Correspondence with Finance Director

Answer to the Question# 4 (c):

Audit procedures in relation to the legal claim:

- Obtain details of the contract with the client and review the contractual obligations
- Review correspondence with prima Doc's engineers
- Discuss the contractual obligations with Prima Doc's management
- Obtain a copy of the legal claim to confirm the amount of the claim and any other relevant details
- Review correspondence with the client to confirm the claim and any latest developments on the claim e.g. there could be a possibility of settlement out of court.
- Obtain correspondence with company's lawyers and discuss with them regarding their legal opinion
- Obtain any copy of any insurance contract and review details of any claim
- Obtain management representation on the outcome of the case and the provision made

Answer to the Question# 5 (a):

Ethical issues involving the firm:

Accepting client without performing client and engagement acceptance assessment:

My firm have received appointment of AFPL audit from Mr. Jayanta and accepted appointment based on the good relationship with him. However, the appointment was not approved in AGM/ EGM. Furthermore, firm have not performed required procedures under ISA to assess whether the client and the engagement can be accepted. This is significant misconduct by the firm because there could be possible independence threat associated with the client or may cause service conflict of interest. Furthermore, there might be inadequate resource available in the firm to perform the audit.

Accepting clients without obtaining professional clearance:

As per the auditing standards, firm should accept appointment after it receives professional clearance. Clearance from predecessor auditor is required to confirm the prior year auditor is removed following the legal steps and there is no independence threat that could restrict accepting the client and the engagement. If the clearance is not obtained, there could be cases that previous firm was not properly removed and hence appointment of new auditor is not valid. Furthermore, previous auditor might highlight issues that could be potential independence threat to the new firm. As my firm accepted client without obtaining professional clearance from predecessor auditor, it has done a professional misconduct.

Non-performance of opening balance procedures:

This is the first year of my firm to audit AFPL. As first year auditor, firm is required to perform opening balance procedures and review predecessor auditors work papers. However, my firm have not performed any procedures on confirming the opening balance. If opening balance is not confirmed, it would be difficult for auditor to express an opinion on the closing balances. Expressing opinion without checking opening balance is a professional misconduct.

Professional misconduct by the firm:

Not paying land holding taxes to local city council:

Although the local holding taxes are insignificant, AFPL has not made payment these holding taxes to local union parishad/ City Council. As AFPL has been causing environmental damage, local union parishad increased the holding taxes. By not paying the holding taxes, AFPL becoming non-compliant with local laws and regulation. This may eventually lead to going concern for the company as local city council may cancel factory permit.

Not informing prior year auditor regarding their pending payment:

Prior auditor fees have not been paid out. Although management has accounted for the liabilities, but it has not taken initiative to pay off the outstanding obligations. It shows management intention of not paying off the prior year auditor. It also raised question whether the prior year auditor was able to maintain their independence.

Not informing the customers regarding double payment:

In prior year one of the customer has paid twice for the same invoice. Despite receiving excess payment, AFPL has not taken initiative to payback the money. Although management claims that they have issued letter to the customer, it is highly unusual that customer has not raised claim against AFPL. AFPL management had the banking details of the customer but yet payment was not made. Management is holding the payment so that they can recognize the liability as income at the end of third year as per company policy.

Answer to the Question# 5 (b):

Assessment of identified risks of material misstatements and audit procedures to address them:

Inappropriate revenue recognition:

Management might adjust customer advance in appropriately by recognizing revenue to show better financial position. This could be reasonable as company's performance ratios are not positive. As Revenue is one of the significant components of the financial statements and primary source of profitability of the company, we have to check the reason for changes in revenue considering the probable risks material misstatements in revenue.

Procedures to be followed:

- Understand revenue arrangements.
- Review the sales process and identify the risk of misstatements.
- Identify the controls available in the sales process and check for their operation and design effectiveness.
- Perform monthly, customer wise or product wise sales analysis.
- Check for reasons for revenue decrease.
- Obtain explanation from management for reason for sharp decrease.
- Perform substantive analysis on the suspected areas.

Risk that going concern assumption is inappropriate:

Company is facing liquidity issues and as it is facing difficulties in collecting from some customers. Accordingly, AFPL management is trying to match the cash flows by deferring the payments to the vendors which has led to bitter relationships with its suppliers. This may disrupt the supply chain of the company.

Procedures to be followed:

- Obtain management assessment of company's going concern.
- Check whether management assessment is appropriate.
- Obtain financial forecast for next 4 to 5 years.
- If company is not going concern, we must suggest management to prepare financial statements under liquidation basis.
- We also confirm whether adequate disclosure has been made in the financial statements.
- Conclude on the financial statements and prepare audit

Misstatement in inventories:

AFPL is in the business of producing Agro based items which has very short shelf life. However, management has reported significant number of unsold inventories at the year end. There are possibilities that unsold inventories are expired or will expire right after the year end.

Procedures to be followed:

- Obtain inventory lists and perform physical count.
- Check the valuation of unsold inventories and check for obsolesce allowance.
- Check appropriateness of management assessment of inventory allowances.
- Suggest adjustment to correctly state the inventory balance and recognize the loss.

Understatement of liability:

AFPL has the policy to recognize the unpaid liabilities as income. Because of these policies there might be several liabilities which is still outstanding, but AFPL recognized it as income. As a result, year-end liability will be understated.

Procedures to be followed:

- Obtain list of customers with aging.
- Check the aging and the liabilities recognized as income.
- Send confirmation to the client and obtain written confirmation for outstanding liabilities.
- Check whether AFPL has received any subsequent claims from vendors whose liabilities has been extinguished.
- Obtain management approval from management for writing off liabilities.
- Check the communications made with the suppliers to collect their money.

Unrecorded liabilities:

AFPL has been going through financial crisis. This is deferring payments to match the cash flows. It has shown indication that it is not paying its suppliers on time. There might be also the case that AFPL has intentionally missed recording liabilities.

Procedures to be followed:

- Auditor should search for unrecorded liabilities.
- Perform cut-off testing.
- Perform correlation analysis with inventory purchase with trade payable accounts.
- Obtain management representation letter confirming that there are no unpaid liabilities.

Overstatement of Trade receivables:

Primary reason for AFPL cash shortage is that AFPL is unable to collect cash form its receivables on time. This indicate that trade receivable might have been impaired. Hence trade receivable may be overstated.

Procedures to be followed:

- Obtain list of customers with receivable aging.
- Send confirmation to the customers.
- Obtain calculation of expected credit loss from management.
- Obtain management representation letter confirming that all the receivables have been reported in the financial statements.

---The End---